

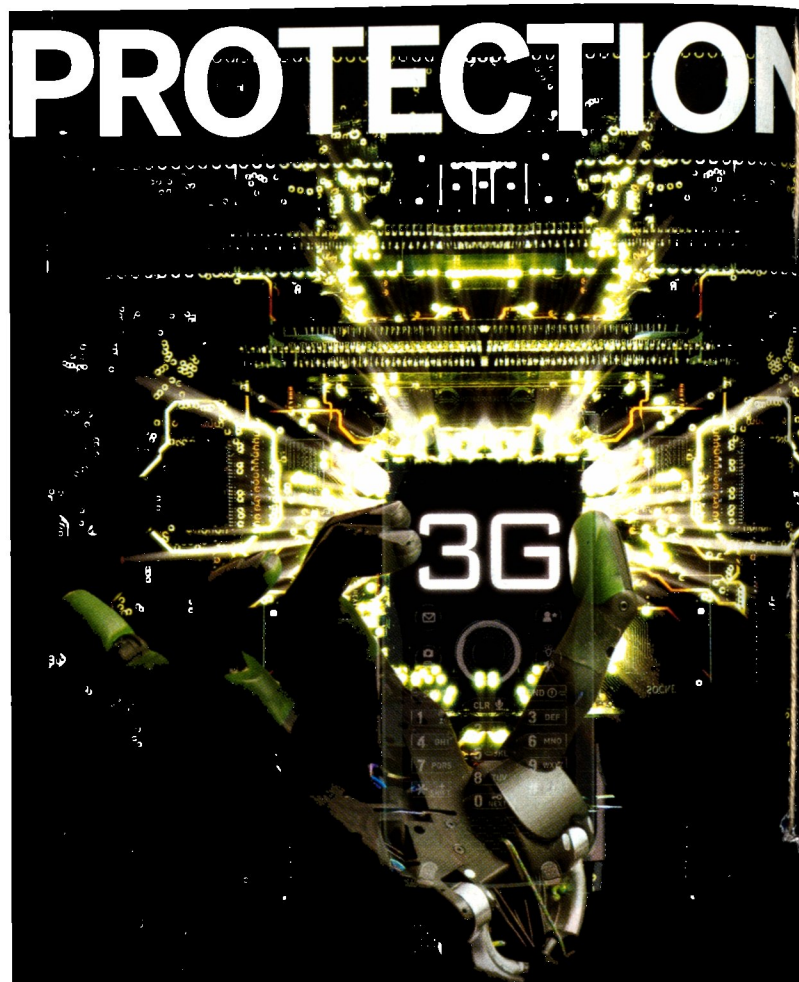
Price of PROTECTION

Consumers may rejoice at the prospect of 3G services at affordable prices, but the operators can bleed awhile for doling out cash to protect their subscriber bases

By Malini Bhupta

Your mobile phone is about to become a little magic box that will bring the world on your palm—for a price, of course. So if you miss any of the cricket or football action, then worry not, as you will be able to catch the highlights on your phone on the go. By the end of the year, your phone will be able to do a lot more than it currently does. From providing high quality entertainment and utilities, it will do a lot more for you, as third generation mobility, or 3G, is just around the corner. 3G is a telephone standard that will allow mobile handsets to access high speed Internet and allow high speed transfer of both audio and video data and other applications. And in order to deliver this service to consumers across 22 circles, key players like Bharti Airtel, Reliance Communications, Vodafone, Tata Teleservices and Aircel are collectively going to shell out Rs 67,700 crore.

3G will have a sweeping impact on the telecom sector as a whole. With the final pan-India spectrum price of Rs 16,700 crore per licence, the Government is set to garner Rs 67,700 crore from the sale of 3G airwaves across 22 circles. That may come as a big relief for the economy watchers as the enhanced amount will help the Government plug its deficit substantially. Says Shobhit Agarwal, director, Protiviti Consulting: "The auction closed 10 times higher than the reserve price in Delhi and Mumbai. It is a windfall for the Government and



Riding the New WAVE

► WAP (Wireless Application Protocol) introduced Indians to mobile Internet access at painfully slow speeds. 3G offers bandwidth that can be exploited for data transmission at high speed. So enter, TV shows and movies on the cell phones and multi-player gaming contests as on consoles.

► Video calls—in which the caller can see the called—will prove

its utility in rural exigencies, like medical emergencies, education or agricultural advisories. That is why affordable 3G compatible handsets priced at around Rs 3,000 are being lined up.

► Phone commerce will get a boost. The cell phone can be used to shop online or transact business through the online portals of banks.